

Rebalancing

INTERMEDIATE PRACTICE WORKSHEET

Look at your own portfolio, or a hypothetical one. There's no wrong answer, the goal is just practice.

Section 1 - Check Your Current Drift

What is your target allocation? What is your current actual allocation? How far has it drifted?

Section 2 - Calculate the Rebalancing Trade

Using the lesson's method, calculate how much you'd need to sell of the overweight asset and buy of the underweight one to get back to target.

Section 3 - Pick a Rebalancing Rule

Would you rather rebalance on a calendar schedule (e.g. annually) or a threshold trigger (e.g. 5 percentage points drift)? Why?

Section 4 - Consider the Costs

Is your portfolio in a taxable account? How might trading fees or capital gains tax affect how often you'd want to rebalance?

Section 5 - Reflection

Be honest: if your portfolio drifted 10 percentage points from target right now, would you actually rebalance? What would make it easier to follow through?